THE INTERNATIONAL SCHOOL BANGALORE

END OF YEAR EXAMINATION 2025-26

Grade	:	11
Section	:	C
Subject	:	Economics SL
Maximum Marks	:	40
Duration	:	1 Hour 45 Minutes
Date	:	03-06-2026
Student's Name	:	ILINA M
Subject Teacher's Name	:	MR. NITIN
Marks Obtained	:	

IA = 11 / 15
(10 + 1)

29
40

General Instructions:

- Do not open this paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Unless otherwise stated in the question, all numerical answers must be given exactly or rounded off to two decimal places.
- You must show all your working.
- Answer **one** question.
- Use fully labelled diagrams and references to the text/data where appropriate.
- The maximum mark for this examination paper is **[40 marks]**.

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This question paper consists of 07 printed pages including this one.

Answer **one** question.

1. Read the extract and answer the questions that follow.

Text A – Fuel Industry in India

1 The fuel industry's lobbying arm, the Federation of Indian Petroleum Industry, suggested in a new draft statement that it might support the government putting a carbon tax to combat climate change, because oil and gas are major sources of those greenhouse gas emissions and significant contributors to the increase in Air Quality Index (AQI).

2 With rising public concern about the overuse of **common pool resources**, the government seems increasingly likely to act to reduce greenhouse gas emissions. Many economists and regulatory experts believe it would be better for the fuel industry, and for consumers, if that action were taxation rather than regulation.

3 Whether tax or regulation, this is likely to lead to job losses in the fuel sector. Analysts warn that the impact of reduced demand for fuel is bound to lead to skilled engineers losing jobs, who may not necessarily be occupationally or geographically mobile. The overall plan should also involve government to reskill and re-employ these people in the new emerging sectors of the economy.

4 The tax is designed to reflect all the harm done by greenhouse gas emissions, such as the impact of heat waves on public health. In addition, the tax generates revenue for the government, which can be used to fund environmental programs, public services, or support for low-income households.

Text B – Tax on Carbon emissions

5 While fuel manufacturing companies would be taxed, they would pass those costs to consumers as well as producers who are the primary users of fuel. However, their ability to do so obviously will vary across goods depending on the sensitivity of consumers to price changes. Indirect tax on some necessities, such as public buses and cab services, are likely to be harsh on consumers. At the top end of the proposed carbon taxes, a cab ride, for example, of average price Rs 200 could see prices rise of around 27%, affecting all income groups but hitting those on the lowest incomes in particular.

6 In contrast, regulatory authorities are in charge of deciding how best to reduce emissions. However, they often do not differentiate between firms that are lower or higher polluters. Regulation comes with procedural requirements that impose paperwork expenses and delays on businesses, too. On the other hand, the determination of the exact value of taxation may involve extensive research and technical knowledge. Economists are of the opinion that the Indian government officials lack enough expertise in this area.

Text C – Favoured industries

7 Regulators can also be subject to pressure from lobbyists such as, not regulating emissions of of favoured industries stringently or regulating in ways that protect favoured industries from competition. The production of manufactured goods can often lead to market failure due to carbon-dioxide and greenhouse gas emissions. However, clever use of regulations such as changing the rules on warranties on manufactured goods could have an effect on the market for new manufactured goods, reducing pollution.

(Question 1 continued)

8 The regulation may deliver less environmental benefit for the same economic costs compared to a carbon tax, as every single rule that a company has to abide by creates a lot of bureaucracy and red tape and oftentimes is less efficient.

Text D – Car prices jump by 20% but slowdown may be coming

9 Car prices have gone up by 20% in February of this year. "The imbalance between strong demand and insufficient supply pushed prices higher," said Ajay Bhargav, manager of economic research at Cars24.com. Experts believe that the major reason for this is the loose monetary policy, such as low interest rate on auto loans.

10 While the car price rise may seem concerning, the rise in demand will not be sustained. The general economic activity has stoked inflation, and the Reserve Bank of India (RBI) has begun to consider increasing interest rates in response. We may soon begin to see the impact of increasing interest rates on car prices.

11 Although the monetary policy is concerned with a rise in price level caused by overheating of the economy, the possibility of **cost-push inflation** still cannot be undermined. This is due to the impact of carbon tax on a significant number of production companies in the country. Economists are of the opinion that there will be a time lag for the firms to respond to the tax and hence for a significant period of time they would continue paying the tax without reducing production. This is particularly because of the existing surge in demand for consumer goods. "The possibility of inflation needs to be handled seriously", said Delhi School of Economics (DSE) professor Kaushik Basu.

Table 1: Selected environment data for India

Indicator	2015	2023
Average annual PM2.5 in Delhi ($\mu g/m^3$)*	108	92
CO_2 emissions per capita (tonnes)	1.6	2.0
Estimated health costs of air pollution (% of GDP)	1.6	1.4
Renewable energy as % of installed power capacity	13	30
Districts under critical groundwater stress (%)	42	61

**World Health Organization recommended annual mean: 15 $\mu g/m^3$*

Table 2: Selected macroeconomic data for India

Indicator	2022	2023
Gini Coefficient	0.357	0.398
Government Debt-to-GDP Ratio	68.5%	81.8%
Real GDP (constant US$)	$2.1 trillion	$3.22 trillion

(The question continues on following page)

(Question 1 continued)

(a) (i) Define the term *cost-push inflation* indicated in bold (Text D Paragraph 11). [2]

(ii) Define the term *common pool resource* indicated in bold (Text A Paragraph 2). [2]

(b) (i) Using the information in Table 2, calculate the rate of economic growth in India between 2022 and 2023. [2]

(ii) Draw a supply and demand diagram to show the impact of loose monetary policy on car prices (Text D Paragraph 9). [3]

(c) Using a labour-market diagram, explain the type of unemployment caused due to reduction in demand for fuel (Text A Paragraph 3). [4]

(d) Using an externality diagram, explain how production of manufactured goods may lead to market failure (Text C, Paragraph 7). [4]

(e) Using a Lorenz Curve diagram, explain how indirect taxes imposed on necessities has affected the income distribution of households between 2022 and 2023 (Table 2 and Text B, Paragraph 5). [4]

(f) Using an AD-AS diagram, explain how a rise in interest rate can be used to reduce inflation in the Indian economy (Text D, Paragraph 10). [4]

(g) Using information from the text/data and your knowledge of economics, discuss the view that the government should use carbon taxation to reduce the problem of environmental damage. [15]

2. Read the extracts and answer the questions that follow.

Text A — Housing market pressures and government intervention in Brazil

1 Brazil has experienced rapid urbanization over the past decade, with over 85 % of the population now living in urban areas. Rising incomes, population growth, and rural-to-urban migration have significantly increased demand for housing in major cities such as São Paulo and Rio de Janeiro. However, the supply of housing has responded slowly due to land scarcity, high construction costs, and delays in obtaining planning permissions.

2 As a result, housing prices and rents have risen sharply. Between 2015 and 2024, average rents increased by over 60 %, while the quantity of available housing rose by only 20 %. Housing has a relatively **price-inelastic demand** in the short run, as housing is a necessity, particularly for low-income households.

3 The government introduced rent controls in selected urban areas to improve affordability. While these policies reduced rents for existing tenants, they discouraged private developers from investing in new housing. Some landlords withdrew properties from the rental market, leading to shortages and the emergence of informal housing.

4 The large construction firms have often been alleged to dominate the market by controlling access to essential resources. This makes it hard for smaller firms to exist in the market leading to a supply constraint in the market. To address supply constraints, the government also introduced **subsidies** for low-income housing construction firms and invested in infrastructure to support urban development. However, critics argue that these subsidies may lead to inefficient allocation of resources and increase government expenditure significantly.

5 Inequality remains a concern in the housing market. Low-income households spend a larger proportion of their income on rent compared to higher-income groups, raising issues of equity. Furthermore, access to affordable housing varies significantly across regions.

Text B — Market failure and government responses

1 Rapid urban expansion has led to increased car usage and consequent increase in traffic congestion and air pollution in Brazilian cities. To address these issues, the government has imposed taxes on fuel and introduced congestion charges in major cities. However, since the alternative forms of fuel are not too conventional, the resulting fall in demand is not significant, limiting the effectiveness of these policies.

2 Public transport systems have been expanded, but they remain underfunded and overcrowded. In many cases, public transport exhibits characteristics of a public good, as it provides widespread social benefits such as reduced congestion and improved air quality.

3 Brazil also faces issues of asymmetric information in the market for used cars. Buyers often lack full information about vehicle quality, leading to adverse selection and market inefficiency.

(Question 2 continued)

4 In addition, overfishing along Brazil's coastline is an example of a common access resource problem. Without effective regulation, fish stocks have declined, threatening long-term sustainability and the livelihoods of fishing communities.

Text C — Macroeconomic performance and inequality

1 Brazil's economy has experienced moderate economic growth in recent years, with real GDP increasing steadily following a period of recession. Growth has been driven by increased government expenditure, and improved business confidence.

2 The government has used expansionary fiscal policy, including increased direct spending goods and services and tax reductions, to stimulate aggregate demand. The resulting creation of jobs in the various sector has led to a reduction of crime rates and social unrest. However, this has contributed to rising government debt, which reached up to 81% of real GDP in 2024. Furthermore, this adversely affected the scope of private investment due to the shrinkage in funds, dampening the overall impact of the policy. Moreover, the government has also considered the fact that earlier tax reductions proved to be unsuccessful in stimulating consumer expenditure.

3 On the other hand, the Central Bank of Brazil (Banco Central do Brasil) has been constantly revising their monetary policy to stabilize the economy. The central bank has adjusted interest rates control inflation, which has remained within the target range of 4–6 %.

4 Despite economic growth, income inequality remains high. The Gini coefficient has increased slightly, and disparities persist between urban and rural areas. Many economists argue that economic growth alone is insufficient to reduce inequality.

5 Supply-side policies, such as investment in education, training, and infrastructure, have been introduced to improve productivity and long-term growth. However, infrastructure projects take long planning and construction periods. Moreover, last time such fiscal injection was introduced in the economy, it entailed usage of significant financial resources, and led to high level of inflation in the short run.

6 There is ongoing debate about the effectiveness of government policies in achieving both economic efficiency and equity. While some policies promote growth, they may also worsen inequality or create unintended consequences.

(Question 2 continued)

Table 1: Housing market data (Brazil)

Year	Average Rent Index	Housing Supply Index	% of Income Spent on Rent (Low-income households)
2015	100	100	32
2024	165	120	42

Table 2: Macroeconomic data (Brazil)

Indicator	2015	2024
Real GDP (US$ trillion)	1.80	2.10
Unemployment rate (%)	8.5	7.2
Government debt (% of GDP)	62	81
Gini coefficient	0.51	0.53

(a) (i) Define the term *price-inelastic demand* indicated in bold in ***Text A, paragraph 2***. [2]

(ii) Define the term *subsidies* indicated in bold in ***Text A, paragraph 4***. [2]

(b) (i) Using information from **Text C paragraph 2** and **Table 2**, calculate the amount of debt faced by the Brazilian government in 2024. [2]

(ii) Using a demand and supply diagram, show how rent controls could create a housing shortage ***(Text A, paragraph 3)***. [3]

(c) Using an appropriate diagram, explain the impact of the supply-side policies on the economy of Brazil ***(Text C, paragraph 5)***. [4]

(d) Using an AD/AS diagram, explain how Central Bank of Brazil's monetary policy may have attempted to control inflation in Brazil ***(Text C, paragraph 3)***. [4]

(e) Using a market failure diagram, explain how increased car usage has led to overallocation of resources in the car market ***(Text B, paragraph 1)***. [4]

(f) Using a Lorenz curve diagram, explain what has happened to income inequality in Brazil between 2015 and 2024 ***(Table 2)***. [4]

(g) Using information from the texts/data and your knowledge of economics, evaluate the effectiveness of government policies in Brazil in achieving economic growth. [15]

END OF PAPER

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2) a) i) Price inelastic demand refers to demand of goods that remain relatively unresponsive to price changes, i.e. when the price of a good increases, demand for that good doesn't decrease proportionally. For example, cigarettes have price inelastic demand. (2)

ii) Subsidies are a form of government expenditure which aims to reduce costs of production or costs of procurement of a particular good. (2)

b) i) Amount of debt = $\frac{\%\text{ govt debt}}{100} \times$ Real GDP

$= \frac{81}{100} \times 2.1$ trillion = 1.7 trillion dollars of debt. (1) R-F

ii)

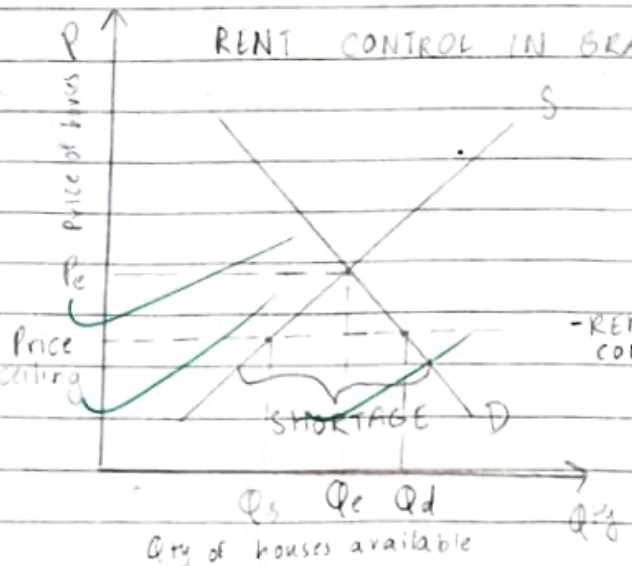


FIGURE 1

(3)

I.R

In the following diagram, the rent control functions as a price ceiling, imposed by the Brazilian government to put a cap on housing prices. Qe and Pe show the market equilibrium quantity and price. Due to the presence of a price ceiling, Qs becomes the quantity supplied at price ceiling price and Qd becomes the quantity

demanded at that price. Thus, a shortage occurs; as Qd > Qs (shown in diagram). This correlates to the hour shortage that would occur in Brazil due to rent controls.

Seen

c)

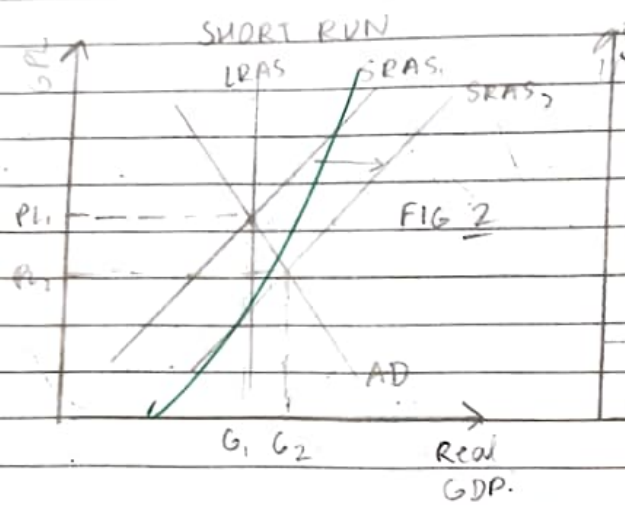


FIG 2

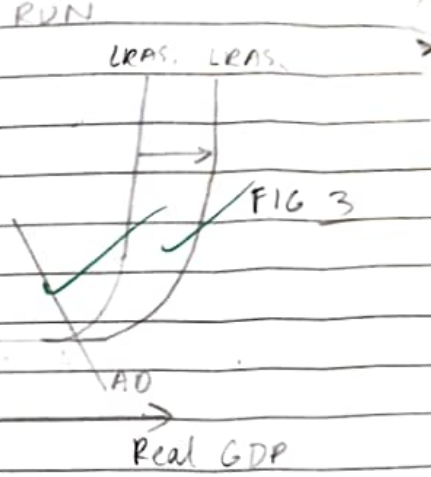


FIG 3

In the following diagrams we can see that in the long run, interventionist supply side policy moves the LRAS Keynesian curve to the right. However, while increasing productivity and ~~long term growth~~, economic growth, infrastructural changes require time (hence long run). In the short run, government investments improve quality of factors of production and human resources for firms, making SRAS shift rightward (SRAS1 → SRAS2), ~~This creates an~~ with reduce in GPL and increase in GDP.

2+2

d)

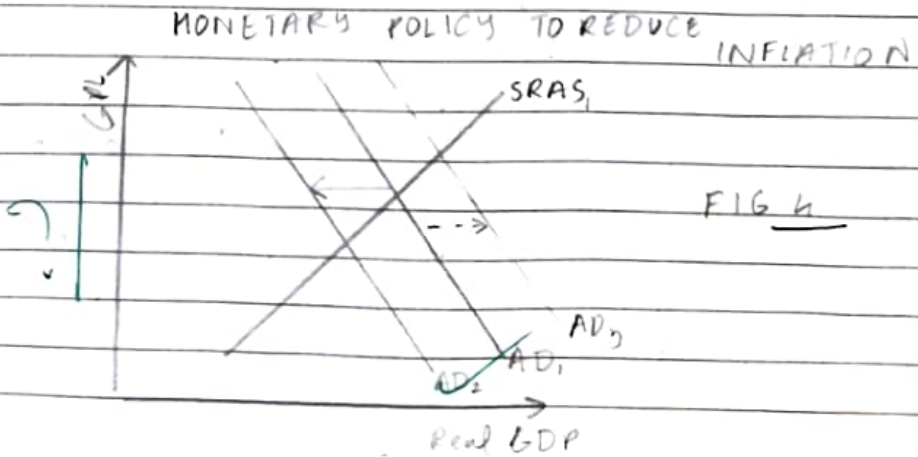


FIG 4

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In the following diagram, the AD curve shifts to the left due to the effect of monetary policy. The Brazilian Central bank could have ~~also~~ decreased money supply to increase interest rates. The increase in interest rates would have discouraged borrowing, making the AD curve shift left. This would increase general price levels, maintaining inflation in the targeted range. Similarly if inflation rate were higher than the targeted range, the Central bank would have increased money supply, which would've decreased interest rate and shifted AD to the right. (As shown by AD_3).

1+1

e)

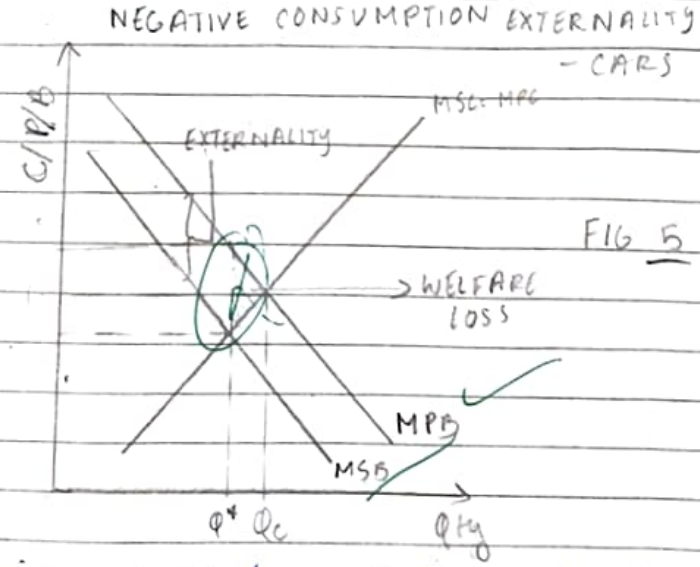


FIG 5

1+2

We want

The following diagram represents a negative externality of consumption. Increased ~~car~~ car usage has led to increased traffic, causing disruption in society — MPB > MSB. Thus, cars are consumed above the socially optimal level (Q^*). The welfare loss represents the benefit to society foregone due to overconsumption of cars, signalling allocative inefficiency (or overallocation of resources in the cars market

f)

LORENZ CURVE ON INCOME INEQUALITY

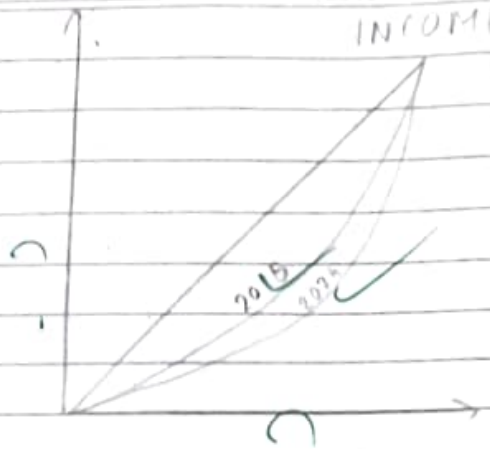


FIG 6

In the following diagram, the change in income disparity between 2024 and 2015 are shown. In 2024, the gini coefficient has increased from 0.51 (in 2014) to 0.53. This change signifies a slight increase in income inequality. This suggests a wider disparity between income concentration/ distribution and rural-urban income disparities in Brazil.

g) The provided text analyses the effect of rapid urbanization in Brazil on its economy and the impact of several government policies in mitigating negative consequences. The government has put the following policies in place: expansionary fiscal policy to control aggregate demand; supply-side policies, particularly investment in education, training and infrastructure; rent control to manage increasing housing demand and improve affordability; and taxes and subsidies on congestion and low income housing, respectively. Government intervention has played a key role in the Brazilian economy. Intervention refers to policies put forward by a government to control certain aspects of an economy and increase economic growth and welfare (in theory). This essay will evaluate the effectiveness of the governmental policies

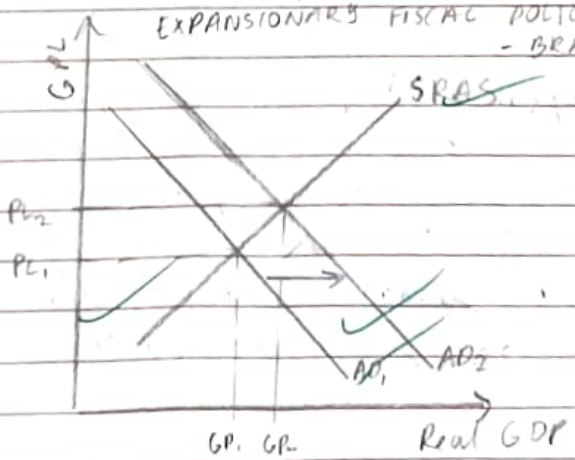
Rent control & subsidy policies

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of the expansionary fiscal policy and the supply side interventionist policy in at achieving economic growth. Monetary policy, while not necessarily under governmental purview will also be evaluated.

EXPANSIONARY ~~SUPPLY SIDE~~ FISCAL POLICY (short run policy).
Expansionary fiscal policies are demand-side fiscal policies put in place by governments to improve economic growth and increase equity in the short run. The expansionary fiscal policy, in specific, focuses on increasing aggregate demand to reach full-employment level. The shift in AD is caused by government spending, making economic growth directly attributable to intervention unlike monetary policies which depend on various other compounds. The expansionary fiscal policy seeks to reduce variation / fluctuation of the business cycle to remain close to potential growth line.

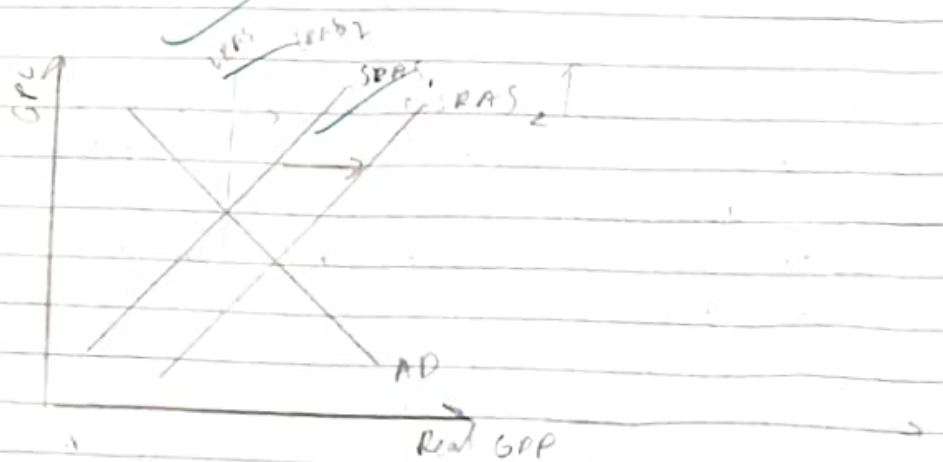


In the following diagram, AD_1 is the initial aggregate demand and SRAS is the short run aggregate supply. The government of Brazil introduces an expansionary fiscal policy through direct spending goods and tax reductions. Tax reductions increase consumers' personal income after taxation, and increases firms' profits, overall increasing their aggregate demand. This shifts the AD_1 curve to the right to AD_2. This increases Real GDP and price levels ($GP_1 \rightarrow GP_2$) and ($PL_1 \rightarrow PL_2$). This creates

an increase in employment and inflation, due to firms hiring more and more people being employed.

The creation of jobs and increase in real GDP has led to reduction in crime rates and social unrest. Consumer confidence has increased as has firms' business confidence. However, this has contributed to rising government debt — which was 81% of real GDP in 2024, rendering economic growth almost low. The scope of private investment and due to shrinkage of funds has been affected. The government has also reported that earlier tax reduction hadn't been successful in improving consumer AD. Additionally, income disparities remain, showing that income distribution is inequitable (directly linked to goal of equity). Thus, while economic growth occurred, in short run, other aspects or goals were not met by the policy.

The supply side interventionist policy was put in place to improve long run economic growth by improving quality and quantity of factors of production, technological changes and institutional reforms. The government of Brazil invested in education, training and infrastructure to improve employability and costs of production for firms.



In the following diagram, SRAS shifts to the right in

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due to investment in education training and health. The goal of supply side policy was to ~~to~~ move LRAS to the right as well in the long run.

While increasing employability, efficiency and productivity in the long run. Supply side policies need time and resources to be put in place ~~to~~ resulting in time lag. Thus, while effective in the long run, it doesn't show immediate short run benefits.

Paired with monetary policies, expansionary fiscal policy and supply side, while effective in economic growth - requires further consideration and deliberation. Supply side is better policy due to overall long run economic growth.

→ Arguments are limited

→ Some of the points stated are inaccurate / not effective

~~Diagram — L4~~

Diagram — L_4

Text usage — L_3

~~Evaluation — L3/4~~

Evaluation — L_3

Conclusion — L_4

$L_3 = 9$

appropriate, should be referred

Marks	Level descriptor
0	• The work does not meet a standard described by the descriptors below.
1 -3	• The response indicates little understanding of the specific demands of the question. • Economic theory is stated but it is not relevant. • Economic terms are stated but they are not relevant *or* are used incorrectly. • The response contains no evidence of synthesis or evaluation. • The response contains no use of text/data *or* it is merely copied.
4-6	• The response indicates some understanding of the specific demands of the question. • Relevant economic theory is described. • Some relevant economic terms are included. • The response contains evidence of relevant but superficial synthesis or evaluation. • The response contains limited use of text/data.
7-9	• The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. • Relevant economic theory is partly explained. • Some relevant economic terms are used appropriately. • Where appropriate, relevant diagram(s) are included. • The response contains evidence of appropriate synthesis or evaluation but lacks balance. • The response includes some relevant information from the text/data.
10-12	• The specific demands of the question are understood and addressed. • Relevant economic theory is explained. • Relevant economic terms are used appropriately. Not fully • Where appropriate, relevant diagram(s) are included and explained. • The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. • The use of information from the text/data is generally appropriate, relevant, and applied correctly.
13-15	• The specific demands of the question are thoroughly understood and addressed. • Relevant economic theory is fully explained. • Relevant economic terms are used appropriately throughout the response. • Where appropriate, relevant diagram(s) are included and fully explained. • The response contains evidence of effective and balanced synthesis or evaluation. • The use of information from the text/data is appropriate, relevant, and is used to formulate a reasoned argument supported by analysis/evaluation.

9